IN THE NATIONAL COMPANY LAW TRIBUNAL, SPECIAL BENCH - II, CHENNAI

CA(CAA)/60 (CHE)2022

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*
Of

KANKRIYA CONSTRUCTION PRIVATE LIMITED
CIN No- U45209TN2007PTC117398
Reg Off-
34/1, Chinnaya Street, Sarangpani Nagar Main Road,
Madhavaram, Chennai- 600060

... Petitioner/ Transferor Company

AND

KANKRIYA ENTERPRISES PRIVATE LIMITED
CIN NO- U74110TN2009PTC103849
Reg Off-
34/1, Chinnaya Street, Sarangpani Nagar Main Road,
Madhavaram, Chennai- 600060

... Petitioner/ Transferee Company

And
Their Respective Shareholders and Creditors

Order Pronounced on 26 August, 2022
CORAM

Justice (Retd.) RAMALINGAM SUDHAKAR, PRESIDENT
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicants: Peruman Saranyan, Advocate

O R D E R

Per: **SAMEER KAKAR, MEMBER (TECHNICAL)**

Under consideration is a joint application filed by the Applicant Companies, namely **KANKRIYA CONSTRUCTION PRIVATE LIMITED** (for brevity "Transferor Company") and **KANKRIYA ENTERPRISES PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other

applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies. The said Scheme is also appended as "Annexure – 7" in the Company Application filed. Accordingly, the Applicant Companies herein have sought the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
TRANSFEROR COMPANY	To dispense with the meeting	To dispense with the meeting	To dispense with the meeting
TRANSFEREE COMPANY	To dispense with the meeting	To dispense with the meeting	To dispense with the meeting

2. A verifying affidavit in support of the above application sworn for and behalf of the applicant Companies have been filed by one ***Abhishek Jain*** Son of Navratanmal Jain in the capacity of Director of the Transferor Company and by one ***Prasan Raj Kankriya*** Son of Khem Chand Jain in the capacity of Director of the Transferee Company along with the application and it is also represented that the Registered office of the Applicant Companies are situated within the jurisdiction of Registrar of Companies, Chennai.

3. It was submitted by the Ld. Counsel for the Applicant that that the Applicant Companies have presented all the requisite documents for the purpose of satisfying this Tribunal for the

dispensation of conducting meeting of the equity shareholders of both the Transferor Company and Transferee Company.

4. It is seen that there are **8** (eight) Equity Shareholders in the Transferee Company and the list of shareholders to this effect is placed at Page Nos. 254 and 255, consent affidavits given by all of them are placed between Page Nos. 256 to 281 of the typed set filed with the application. On perusing the same it was found that Mr. Prasan Raj Kankriya has given consent affidavit on behalf of 'Disha Beneficiary Trust' which is one of the shareholder, holding 34,300 (13.26%) of shares in the Transferee Company, but resolution authorising Mr. Prasan Raj Kankriya to give consent on behalf of the said trust, was not placed on record. Further, the provisional balance and loss statement for the year ended 31.03.2022 shows one Surbhi Kankriya Beneficiary Trust holding 50000 number of shares however, the chartered accountant certificate and the consent affidavit for the same as on 31.03.2022 holds P. Surbhi instead of Surbhi Kankriya Beneficiary Trust which in turn is again a contradiction among the documents submitted.

5. Similarly, there is 1 (one) secured creditor in the Transferee Company viz., DBS Bank India Limited, whose credit amount is depicted as Rs.16,91,66,281/- in the Chartered Accountant Certificate dated 22.06.2022 placed at page No.297 of the typed set filed along with the application. Mr.Anurag Oberoi has given

consent affidavit on behalf of DBS Bank India Limited but resolution authorising Mr.Anurag Oberoi to give consent on behalf of the said bank, was not placed on record.

6. In respect of unsecured creditors of the Transferee Company, it was averred as follows:-

> 16) The 2nd Applicant / Transferee Company has 1 [One] Secured Creditor,and 32 [Thirty Two] Unsecured Creditor as on 31.03.2022. A copy of the List of Creditors along with their respective outstanding balances is collectively annexed as **'Annexure-19'**. A copy of the Certificate issued by the Chartered Accountant confirming the List of Creditors along with their respective outstanding balances is collectively annexed as **'Annexure-20'** to this application.

The Auditor Certificate dated 22.06.2022 authorising the list of creditors and outstanding balance is extracted hereunder

32.	VSP Safety Shoes & Uniforms Solutions No.1/1394-B, ElumalaiNaicker Street, Gandhi Nagar, Regihills, Chennai - 600052	Rs. 11,256/-	0.008
	Total	Rs. 14,66,20,012/-	100

For ABHAY U JAIN & ASSOCIATES
Chartered Accountants
Firm Registration No. 011045S

Abhay Kumar Jain
Proprietor
Membership No. 207937
Place: Chennai
Date: 22-06-2022
UDIN: 22207937ALKKGJ7034

But in the provisional balance sheet as at 31.03.2022, the liabilities of the Transferee Company are figured as follows

KANKRIYA CONSTRUCTION PRIVATE LIMITED
(formerelly known as Roxy Commodities (P) Ltd)
NOTES FORMING PART OF THE ACCOUNTS FOR THE YEAR ENDED MARCH 31, 2022

3 (c) Other Current Liabilities		
Other payables		
- Statutory Liabilities	2,52,040	3,97,476
- Due to Directors	11,02,440	20,94,600
- Other Liabilities	-	-
	13,54,480	24,92,076
3 (d) Short-Term Provisions		
Provision for Income Tax	18,27,000	10,88,000
	18,27,000	10,88,000

7. A perusal of the above documents (especially note 3(c)) shows that there is ample difference between the unsecured credit amount certified in the Chartered Accountant Certificate dated 22.06.2022. It is prudent that the figures in the financial document presented in the application must match with the statements and records disclosed in the application, in the present case it is found that there is mismatch of figures in the financial documents and the Chartered Accountant Certificate attached with the application.

8. From the above discoveries, we are of the opinion that the averment sworn on oath and the documents presented before us are insufficient and contradictory to the financial statements of the filed along with the application. Thus, we are constrained to conclude that the parties and pleaders are attempting to mislead this Tribunal and waste the precious judicial time. Thus, this application is liable to be rejected in limine.

9. Hence, the application in CA(CAA)/60(CHE)2022 stands dismissed with a cost of **Rs.1,00,000/-** (Rupees one lakh only) payable to the "***Prime Minister National Relief Fund***" within a period of 7 days from the date of this order.

10. Post this matter on 15.09.2022 for compliance.

- Sd -

SAMEER KAKAR
MEMBER (TECHNICAL)

- Sd -

JUSTICE RAMALINGAM SUDHAKAR
PRESIDENT